

NORTHERN UTILITIES PROCUREMENT AUTHORITY

(a fictional procuring authority created for assessment purposes)

# Wadi Sirhan Independent Sewage Treatment Plant

VOLUME V — DRAFT PROJECT AGREEMENT (EXTRACT)

Tender Reference: NUPA/ISTP/2026/014

Date of Issue: 14 September 2026

Selected clauses issued for tender. Not for execution.

**NOTICE.** This document is a constructed artefact. The Northern Utilities Procurement Authority, the Wadi Sirhan ISTP project and every party named in this pack are invented. It exists only to test how a candidate's software handles a document set of this shape.

**Note to Bidders.** This extract contains the clauses of the draft Project Agreement on which the Authority invites comment through Form 4-E. Clause numbering follows the full draft; omitted clauses are not reproduced. A deviation not listed in Form 4-E will be taken as accepted.

## CLAUSE 1 — DEFINITIONS

- 1.1 Availability Payment** means the annual payment calculated under Clause 29 and adjusted under Clause 31.
- 1.2 Effective Date** means the date of execution of this Agreement by both parties.
- 1.3 Estimated Project Cost** means the aggregate capital cost of the Facility as set out in the agreed Financial Model at Financial Close.
- 1.4 Financing Documents** means the common terms agreement, the facility agreements, the security documents and every other document designated as such by the Senior Lenders.
- 1.5 PCOD** means the date on which the Independent Engineer certifies that the Facility has satisfied the requirements of Volume II Clause 7.2.
- 1.6 Unavailability Event** has the meaning given in Clause 31.1.

## CLAUSE 3 — TERM

- 3.1** This Agreement shall come into force on the Effective Date and shall continue for a period of **twenty-five (25) years from the Effective Date**, unless terminated earlier in accordance with its terms.
- 3.2** On expiry, the Facility shall transfer to the Authority in accordance with Clause 42 for nil consideration.
- 3.3** The Project Company shall have no right to an extension of the term save as expressly provided in Clause 34 (Relief Events) and Clause 36 (Change in Law).

## CLAUSE 12 — CONSTRUCTION

- 12.1** The Project Company shall achieve PCOD within thirty-six (36) months of the Notice to Proceed (the **Scheduled PCOD**).
- 12.2** The Project Company shall procure that the EPC Contractor performs the construction works on a fixed price, lump sum, date certain, turnkey basis with single point responsibility.
- 12.3** The Authority shall appoint an Independent Engineer whose reasonable costs shall be borne equally by the parties.
- 12.4** The Project Company shall submit monthly progress reports and shall permit the Authority access to the site at all reasonable times.

## CLAUSE 18 — DELAY AND LIQUIDATED DAMAGES

- 18.1** If PCOD is not achieved by the Scheduled PCOD, the Project Company shall pay to the Authority delay liquidated damages at the rate of SAR 180,000 for each day of delay.
- 18.2** Delay liquidated damages are the Authority's sole financial remedy for late completion, without prejudice to its termination rights under Clause 39.
- 18.3** If PCOD has not been achieved within three hundred and sixty-five (365) days after the Scheduled PCOD, the Authority may terminate under Clause 39.2.
- 18.4** The aggregate liability of the Project Company for delay liquidated damages under this Clause 18 shall not exceed **ten per cent (10%) of the Estimated Project Cost**.

## CLAUSE 24 — PROJECT ACCOUNTS AND RESERVES

- 24.1** The Project Company shall open and maintain the project accounts required by the Financing Documents with an account bank acceptable to the Senior Lenders.

- 24.2 The Project Company shall establish and maintain such reserve accounts, and shall fund them to such levels and at such times, as are required under the Financing Documents. The Authority takes no position on the sizing of any reserve account.
- 24.3 The Project Company shall not make a distribution to its shareholders unless the conditions to distribution in the Financing Documents are satisfied and no Unavailability Event is continuing.
- 24.4 The Project Company shall provide the Authority with quarterly statements of each project account.

## CLAUSE 29 — PAYMENT MECHANISM

- 29.1 From PCOD the Authority shall pay the Project Company the Availability Payment in equal monthly instalments in arrears, subject to the deductions in Clause 31.
- 29.2 The Availability Payment shall be indexed annually in accordance with Schedule 9, with sixty per cent (60%) of the payment indexed to the published consumer price index and forty per cent (40%) remaining fixed.
- 29.3 During the first twelve (12) months after PCOD (the **Ramp-Up Period**) the Availability Payment shall be paid at ninety per cent (90%) of the full rate, and no availability deduction shall apply to a parameter listed in Table 2-4 as assessed on a rolling average basis.
- 29.4 Invoices shall be submitted within ten (10) Working Days of each month end and shall be paid within thirty (30) days of receipt.
- 29.5 The Authority may set off any sum due to it under this Agreement against any Availability Payment.

## CLAUSE 31 — AVAILABILITY AND DEDUCTIONS

- 31.1 An **Unavailability Event** occurs where (a) the Facility is unable to treat the flow delivered to it, (b) the treated effluent fails any parameter in Volume II Table 2-4, or (c) the Facility fails to deliver treated effluent to the delivery point at the required residual head.
- 31.2 On the occurrence of an Unavailability Event the Authority shall deduct from the Availability Payment the amounts calculated under Schedule 7. **Deductions under this Clause 31 are not subject to any cap** and may in aggregate exceed the Availability Payment for the relevant period, in which case the excess shall be carried forward.
- 31.3 A cure period of twenty-four (24) hours applies to an Unavailability Event under Clause 31.1(a) and of seventy-two (72) hours to an event under Clause 31.1(c). No cure period applies to an event under Clause 31.1(b).
- 31.4 Persistent breach, being three (3) or more Unavailability Events in any rolling ninety (90) day period, entitles the Authority to require a remediation plan and, on a second occurrence, to terminate under Clause 39.3.
- 31.5 Deductions shall not apply during a Relief Event or a Force Majeure Event to the extent that the Unavailability Event is caused by that event.

## CLAUSE 34 — RELIEF EVENTS

- 34.1 A Relief Event entitles the Project Company to an extension of time but not to compensation.
- 34.2 Relief Events comprise: fire, explosion, flood or other physical damage not caused by the Project Company; failure of a utility not caused by the Project Company; blockade or embargo; and official strike other than one confined to the Project Company or its subcontractors.
- 34.3 The Project Company shall notify a Relief Event within five (5) Working Days of becoming aware of it, failing which no relief shall be granted.

## CLAUSE 36 — CHANGE IN LAW

- 36.1 A **Discriminatory Change in Law** or a **Specific Change in Law** entitles the Project Company to compensation such that it is restored to the position it would have been in had the change not occurred.

**36.2** A **General Change in Law** entitles the Project Company to compensation only in respect of capital expenditure required by that change and only to the extent that such expenditure exceeds SAR 5,000,000 in aggregate over the term.

**36.3** A change in the rate of any tax on profits shall not constitute a Change in Law for the purposes of this Clause.

## **CLAUSE 39 — TERMINATION**

**39.1** The Authority may terminate for a Project Company Event of Default, being the events listed in Schedule 11.

**39.2** The Authority may terminate where PCOD is not achieved within the period stated in Clause 18.3.

**39.3** The Authority may terminate for persistent breach in the circumstances described in Clause 31.4.

**39.4** The Project Company may terminate for an Authority Event of Default, being a failure to pay an undisputed sum exceeding SAR 20,000,000 that continues for sixty (60) days after notice.

**39.5** The Senior Lenders shall have step-in rights in accordance with the Direct Agreement, and the Authority shall not terminate under Clause 39.1 without first giving the Senior Lenders the notice and cure period stated in the Direct Agreement.

## **CLAUSE 40 — COMPENSATION ON TERMINATION**

**40.1** On termination for Authority default or for prolonged force majeure, compensation shall equal outstanding senior debt, breakage costs, and equity subscribed together with the equity return to the date of termination, calculated under Schedule 12.

**40.2** On termination for Project Company default, compensation shall be the lesser of (a) the market value of the Agreement determined by a re-tender and (b) outstanding senior debt, in each case less the Authority's costs of re-tender and rectification.

**40.3** No compensation is payable in respect of any loss of profit beyond that expressly provided in this Clause 40.

## **CLAUSE 42 — HANDBACK**

**42.1** The Project Company shall transfer the Facility to the Authority on expiry in the condition required by Volume II Clause 8.5, free of encumbrance and with a remaining design life of not less than five (5) years for all major assets.

**42.2** A handback reserve shall be funded from the start of year twenty (20) of the term in an amount certified by the Independent Engineer.

## **CLAUSE 44 — GOVERNING LAW AND DISPUTES**

**44.1** This Agreement is governed by the laws of the Kingdom.

**44.2** The parties shall first refer a dispute to senior representatives, then to an expert where the dispute is technical, and failing resolution to arbitration seated in Riyadh conducted in the English language before three arbitrators under the arbitration rules applicable in the Kingdom.

**44.3** Performance of this Agreement shall continue during any dispute.